Public Relations Review 38 (2012) 171–173

Contents lists available at SciVerse ScienceDirect

Public Relations Review

Short communication

CEO credibility, perceived organizational reputation, and employee engagement

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ARTICLE INFO

Article history:
Received 22 June 2011
Received in revised form
10 December 2011
Accepted 14 December 2011

Keywords:
CEO credibility
Organizational reputation
Employee engagement

ABSTRACT

The current study explores how corporate leadership influences the effectiveness of internal public relations by linking CEO credibility, employee evaluation of the organizational reputation, and employee engagement. An online survey of 157 employees from a Fortune 500 company shows that CEO credibility is positively associated with perceived organizational reputation and employee engagement. Perceived organizational reputation significantly and positively affects employee engagement. Employee perception of organizational reputation fully mediates CEO credibility impact on employee engagement.

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1. Introduction

As the public "face" of the company, a CEO helps define the organization's image to internal and external stakeholders. Facing external constituencies, CEOs are corporate spokespersons who are actively visible and favorably shape the corporate image. Internally, CEOs influence employee perception, attitudes, and performance through leadership and power (Park & Berger, 2004). The role of celebrity CEOs as corporate spokespersons or public characters has been extensively examined in public relations and marketing communication literature. However, few empirical studies evaluate CEO influence as the corporate leader on public relations effectiveness. From an internal perspective, the current study investigates how CEO credibility impacts employee perception of organizational reputation and employee engagement.

In the current study, the concept of CEO credibility includes CEO expertise and trustworthiness (O'Keefe, 2002). CEO expertise gauges the extent to which employees perceive the CEO as a source of valid assertions, and as possessing the necessary skills and knowledge for his or her position (Pornpitakpan, 2003). CEO trustworthiness is operationalized as the degree of employee confidence and acceptance towards the CEO and his or her messages. Perceived organizational reputation is defined as the overall employee evaluation of the organization over time. This evaluation includes emotional appeal, products and services, financial performance, vision and leadership, work environment, and social responsibility (Fombrun & Van Riel, 2004). Employee engagement means being psychologically present when occupying and performing an organizational role. It deals with how individuals employ themselves while performing their jobs, and involves the active use of cognitions, emotions, and behaviors (Saks & Rotman, 2006). Existing literature in management, marketing, and business arenas has suggested various drivers of organizational reputation and employee engagement, such as corporate ability, corporate identity, among others (e.g., Dowling, 2001). From an internal communication perspective, the current study focuses mainly on relations among CEO credibility, perceived organizational reputation, and employee engagement, which have not yet been fully examined.

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doi:10.1016/j.pubrev.2011.12.011

2. Methods

An online survey was conducted in February 2011 with 700 randomly selected employees from different position levels and work units of a Fortune 500 company in the United Sates. Of these, 157 employees completed the online survey. The average age was 44.9 and company tenure was 12.2 years. Of the 157 respondents, 31.4% were women and 68.6% were men. Furthermore, 2% were top management, 41.2% were middle-level management, 39.2% were lower-level management, and 17.6% were non-management.

Measures of CEO credibility ($\alpha = .96$), employee perception of organizational reputation ($\alpha = .95$), and employee engagement ($\alpha = .89$) were adopted from previous literature (i.e., Fombrun & Van Riel, 2004; O'Keefe, 2002; Saks & Rotman, 2006). SPSS 18.0 for Windows was used for data analysis. *T*-test, ANOVA, and standardized multiple regression were used to examine impact of demographic variables on key variables. Subsequently, hierarchical regression examined how well each independent variable (i.e., CEO credibility) predicts the dependent variables (i.e., perceived organizational reputation and employee engagement) after controlling for demographic influence.

3. Results

The results of the descriptive analysis show that employees in the sample held an overall positive evaluation of CEO credibility regarding CEO expertise ($M = 6.08$, $SD = .90$), trustworthiness ($M = 5.13$, $SD = 1.29$), and organizational reputation ($M = 5.76$, $SD = .89$). However, a slightly less-than-positive evaluation was found on employee engagement ($M = 4.95$, $SD = 1.14$). Results of tests on the influences of demographic variables on CEO credibility, employee perception of organizational reputation, and employee engagement indicate that only employee position levels had significant effect on perception of organizational reputation [$F(3, 138) = 7.84$, $p < .001$]. Employees at higher positions tended to have a more positive evaluation toward organizational reputation.

Results of the hierarchical regression analysis for employee perception of organizational reputation revealed that the linear combination of CEO credibility was significantly and positively related to employee perception of organizational reputation after controlling for employee position [F change $(2, 153) = 66.04$, $p < .001$, $\Delta R^2 = .409$]. Employee perceptions of CEO expertise ($t = 4.32$, $p < .001$, $\beta = .31$) and trustworthiness ($t = 5.67$, $p < .001$, $\beta = .40$) were both significant predictors of perceived organizational reputation. CEO credibility was also significantly and positively related to employee engagement after controlling for employee position [F change $(2, 153) = 35.4$, $p < .001$, $\Delta R^2 = .305$]. Both CEO expertise ($t = 2.67$, $\beta = .23$, $p = .008$) and trustworthiness ($t = 4.60$, $\beta = .39$, $p < .001$) were significant predictors of employee engagement.

The relationship between employee perception of organizational reputation and employee engagement, as well as the potential mediation effect of organizational reputation on the relationship between CEO credibility and employee engagement was examined through a three-step hierarchical regression analysis. Employee engagement was regressed on employee position (control variable) at the first step, CEO credibility (independent variable) at the second step, and employee perception on organizational reputation (potential mediator) at the third step. The linear combination of perceived organizational reputation was significantly related to employee engagement after controlling for the effect of employee position and CEO credibility [F change $(6, 147) = 16.76$, $p < .001$, $\Delta R^2 = .268$]. Employee evaluation of the company emotional appeal ($t = 2.18$, $p = .03$, $\beta = .25$), products and services ($t = 2.39$, $p = .02$, $\beta = .19$), vision and leadership ($t = 2.64$, $p = 009$, $\beta = .22$), and work environment ($t = 2.28$, $p = .024$, $\beta = .24$) were all significant predictors of employee engagement. Regarding the mediation, the significant effects of CEO expertise ($t = 2.67$, $p = 008$, $\beta = .23$) and trustworthiness ($t = 4.60$, $p < .001$, $\beta = .39$) previously observed on employee engagement became insignificant ($p = .84$ for expertise, $p = .35$ for trustworthiness) when perceived organizational reputation was added to the equation. Thus, CEO credibility impact on employee engagement was fully mediated by employee perception of organizational reputation.

4. Discussion

There is a natural link between CEO and the organization. CEO credibility influences how employees perceive the organization's reputation. Employees who perceive the CEO as more competent, qualified, and possessing more expertise, knowledge, and skills tend to evaluate organizational reputation more favorably. Employees who perceive the CEO as more trustworthy and honest tend to evaluate the organization positively.

Employee perception on organizational reputation is strongly associated with employee engagement. Employees with more favorable evaluation of organizational reputation are more likely to reciprocate with a greater level of engagement in the organization. In particular, employees with good feelings towards the company, such as admiration, trust, and respect (emotional appeal), would be more willing to engage in and be more attentive to organizational activities. A hospitable work environment featuring good workforce management, fair treatment to employees, effective leadership, a clearly articulated vision, and high-quality and fairly priced products helps builds employee confidence regarding the future of company, thereby contributing significantly to employee engagement.

Employee perception of organizational reputation fully mediates the positive relationship between CEO credibility and employee engagement. Although CEO credibility positively influences employee engagement, the impact is actually exerted fully through employee perception of organizational reputation. Thus, a credible CEO who is deemed trustworthy and

who demonstrates expertise helps nurture positive employee evaluation of the organization. In turn, this fosters employee engagement and organizational involvement, as well as enthusiasm and passion for work.

The current study fosters understanding of the link between the CEO and an organization from an internal public relations perspective. Communication professionals need to first help establish a credible CEO image in the eyes of the internal public, who could then spread positive workplace stories to outsiders, to shape a favorable internal and external organizational reputation. In addition, demonstrating the connection between perceived organizational reputation and employee engagement suggests that the value of internal communication does not only lie in generating favorable employee perception toward the organization, but also in behaviorally engaging employees in dialogues, decision making, organizational activities, and development, which are more directly related to organizational effectiveness.

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